Evelyn L. Arnold, Auditor, Chelan County, WA. AFN # 2303188 Recorded 05/15/2009 at 09:44 AM, COVEN Page: 1 of 31 Filing Instrument $72.00
CITY OF WENATCHEE

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DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS OF RED HAWK CANYON

Grantor(s) (Phillippi): PHILLIPPI DEVELOPERS, LLC, a Washington limited liability company.
Grantee(s) (Phillippi): PHILLIPPI DEVELOPERS, LLC, a Washington limited liability company.
Legal Description (abbreviated): Lot 9, Short Plat 2007-027-WE, Ptns. NW ¼ Sec 5, T. 22 N. R. 20 E.W.M., Ptns. SE ¼ Sec. 5, T. 22 N., R. 20, E.W.M., E. 200 feet NE ¼ NW ¼ SE ¼ Sec 5, T. 22 N, R. 20, E.W.M., Chelan County, Washington. Additional legal on page 1 & 2.
Assessor's Tax Parcel ID#: 22-20-05-420-100, 22-20-05-420-110, 22-20-05-430-300, 22-20-05-420-950, 22-20-05-430-050, and 22-20-05-421-050.

PHILLIPPI DEVELOPERS, LLC, a Washington limited liability company, the owner and developer of real property located in Chelan County, Washington, more particularly described as follows:

See Exhibits "A" and "B" attached hereto and incorporated by reference,

does hereby establish the following protective covenants, conditions and restrictions for said property, said covenants to run with the land:

I. DEFINITIONS

Defined terms appear throughout this Declaration with the initial letter of such term capitalized. Unless the context clearly requires otherwise, the following terms used in this Declaration are defined as follows:

1.1 "Association" shall mean and refer to RED HAWK CANYON Owners Association, its successors and assigns.

1.2 "Board" shall mean and refer to the Board of Directors of RED HAWK CANYON Owners Association.

1.3 "Common Area" shall mean all real property owned or to be maintained by the Association for the common use and enjoyment of the Owners. The common areas may include, but are not necessarily limited to, the storm water retention pond, the irrigation pump and irrigation system, and the entryway sign and lighting.

1.4 "Declaration" shall mean and refer to the Declaration of Covenants.

Conditions and Restrictions applicable to the Properties recorded in the Office of the Chelan County Auditor.

1.5 "Developer" shall mean and refer to Phillippi Developers, LLC, a Washington limited liability company, and its successors or assigns.

1.6 "Lot" shall mean and refer to any plot of land shown upon any recorded map of the Properties, with the exception of the common areas.

1.7 "Majority of Members" shall mean and refer to the Members holding more than 50% of the total votes entitled to be cast with respect to a given matter (not just those represented at a meeting); and any specified fraction or percentage of the Members means the Members holding that fraction or percentage of the total votes entitled to be cast with respect to a given matter. Unless otherwise specified, any provision herein requiring the approval of the Members means the approval of a Majority of Members.

1.8 "Member" shall mean and refer to those persons entitled to membership as provided in Section 4.2 of this Declaration.

1.9 "Owner" shall mean and refer to the record owner, whether one or more persons or entities, of the fee simple title to any Lot which is a part of the Properties, including contract purchasers, but excluding those having such interest merely as security for the performance of an obligation.

1.10 "Properties" shall mean and refer to that certain real property subject to the Declaration of Covenants, Conditions and Restrictions of RED HAWK CANYON.

1.11 "Transition Date" shall mean and refer to the first to occur of:

1.11.1 October 1, 2040; or

1.11.2 The day on which title to the last Lot in the Property owned by the Developer is conveyed to any third party for value, other than as security for performance of an obligation (for purposes hereunder, "third party" shall be defined as any person or entity that is not the Developer, a lineal descendant of the principal shareholders of the Developer, or spouse of any such lineal descendant); or

1.11.3 Such date as Developer requires the Members to assume control of the Association, it being the Developer's right (but not obligation) to require the Members to assume control of the Association at any time.

II. ANNEXATION OF ADDITIONAL PROPERTY

Prior to the Transition Date, some or all of the real property described on Exhibit "B" may be annexed to and become subject to this Declaration as set forth in this Section 2. Developer may amend Exhibit "B" at any time prior to the transition date to delete or add property described thereon.

2.1 Annexations. Developer may elect to annex some or all the real property described in Exhibit "B" in increments of any size whatsoever, or to annex more than one such

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increment to any given time and in any given order. Developer is not obligated to annex any of said property, and none of said property shall become subject to this Declaration unless and until a supplemental declaration by the Developer shall have been recorded as herein provided.

2.2 Supplemental Declaration. A supplemental declaration shall be a document in recordable form which annexes additional real property to the plan of this Declaration and which incorporates by reference all of the covenants, conditions, restrictions, easements and other provisions set forth in this Declaration. Supplemental declarations may contain such complementary additions or modifications of the covenants, conditions and restrictions contained in this Declaration as may be necessary to reflect the different character, if any, of the annexed property. In other words, the Developer may modify or expand this Declaration in the form of a supplemental declaration that will be applicable to the annexed properties specifically identified therein. In no event, however, shall any such supplemental declaration revoke, modify or add to the covenants established by this Declaration with respect to the Property subject to this Declaration immediately prior to the annexation.

2.3 Annexation Without Approval of Association. The property described in Exhibit "B" may be annexed to and become subject to this Declaration and subject to the jurisdiction of the Association without the approval, assent or vote of the Association or its Members, provided that a supplemental declaration covering the annexed property shall be recorded by Developer. The recordation of said supplemental declaration shall constitute and effectuate the annexation unless a later effective date is specified in the supplemental declaration, making said real property subject to this Declaration and subject to the functions, powers and jurisdiction of the Association, and thereafter the annexed property shall be part of the Property for all intents and purposes of this Declaration and all the Owners of Lots in the annexed property shall automatically be Members of the Association.

2.4 Boundary Line Adjustments. Developer shall retain and have the right at any time and from time to time to adjust any lot lines, boundaries, or configuration of the Property with respect to any Lots, Common Areas, or other property which are retained by or otherwise owned or controlled by Developer, provided, however, Developer shall not have the right or authority to move or adjust the boundary of any Lot(s) owned by another party without first obtaining the consent of such party.

III. AESTHETIC CONTROL COMMITTEE

3.1 Committee. These covenants shall be enforced by an Aesthetic Control Committee (the "Committee") whose members shall be appointed by the Board of Directors of the RED HAWK CANYON Owners Association. Until the Transition Date, the Developer shall act as the Committee. After the transition date, these Protective Covenants shall be enforced by the Committee whose members shall be appointed by the RED HAWK CANYON Owners Association Board of Directors. There shall be three committee members, each of whom shall be RED HAWK CANYON lot owners. Each Committee member shall serve a two (2) year term, provided that the terms of office of the three (3) original Committee members shall be arranged so that during no year shall it be necessary to elect three (3) new Committee members. In the event of a vacancy on the Committee, the Board of Directors of the Owners Association shall appoint a lot owner to fill the vacancy for the remainder of the vacated term.

3.2 Approvals. No less than thirty (30) days before the date construction is schedule to begin, each owner shall provide to the Committee for the Committee's review and

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approval, at the owner's sole cost and expense, one set of house elevations, exterior specifications, including three paint colors (body, trim and accent), and the plot plan. No building, including out buildings, shall be erected, placed or altered on any lot until house elevations, exterior specifications, and plot plans showing the location of the structure, driveway, and parking strip landscaping, per City-approved plan, have been approved in writing by the Committee. The Committee will be examining material quality, harmony of exterior design with existing structures, the intended nature of the plat, and the site location with respect to topography and finished grade elevation.

Diversity and design is encouraged. The Committee will evaluate each plan as to its effect on the view of neighboring properties and may require modification to ensure the protection of views of other RED HAWK CANYON lots.

Exterior elevation drawings of all proposed construction with material and color samples will be submitted to and approved in writing by the Committee prior to construction and/or application. The same requirement shall apply to any subsequent exterior alterations, additions or changes of exterior material and/or color schemes.

IV. HOMEOWNERS ASSOCIATION

4.1 Purpose. The Association shall be formed by the Developer for the purpose of managing the Common Areas, maintaining other facilities owned by the Association and enforcing the Declaration.

4.2 Membership. Every person or entity who is an Owner shall be a Member of the Association. Membership shall be appurtenant to and may not be separated from the Owner's interest in RED HAWK CANYON. All Members shall have rights and duties as specified in this Declaration, and in the Articles, Bylaws, and Rules and Regulations of the Association. The Association shall be governed by a Board of Directors as set out in the Bylaws.

4.3. Voting Rights. There shall be one vote for each membership in the Association. An Owner shall be entitled to one membership in the Association for each Lot owned, so long as he is the owner of the Lot. The foregoing is not intended to include persons or entities who hold an interest merely as security for the performance of an obligation. Membership shall be appurtenant to and may not be separated from ownership of any Lot which is subject to assessment by the Association.

If the Owner of a Lot is other than one (1) individual, the Owner shall specify in writing to the Association the individual who is the Member of the Association for the Lot. In the absence of such written specification, assessments shall nevertheless be charged against the Lot and the Owner thereof, but there shall be no right to vote the Membership. The Member must be an individual who is either an Owner or, if the Owner is or includes a person other than an individual; an individual who is a partner, if the Owner is or includes a partnership; or an officer of the corporation, if the Owner is or includes a corporation; or a beneficiary of the trust, if the Owner is or includes a trust; or an owner of the entity, if the Owner is or includes a person other than an individual, a partnership, a corporation, or a trust. The Member, as so specified, shall be the only person entitled to vote for the Owner of the Lot at Association meetings and elections. An Owner may change the individual who is the Member for his Lot, provided each such individual is eligible to be a Member hereunder, in such manner and with such frequency, and subject to such reasonable processing fees, as the Board from time to time may permit.

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4.4 Temporary Developer Control. All of the rights, duties and functions of the Association shall be exercised only and entirely by the Developer until the Transition Date. To carry out this provision, Developer may, from and after the date of recording hereof, adopt and enforce temporary Bylaws, rules and regulations for the Association; may give notices and call meetings; determine, assess, collect, receive and expend assessments and Association funds; hire a manager or other employees or service agencies as required; purchase supplies and equipment and determine maintenance and other policies; set up and maintain Association books and accounts; and generally exercise all powers necessary to carry out the provisions of the Declaration. Acceptance of an interest in the Properties described in this Declaration indicates acceptance of the management authority of Developer until the Transition Date and, in carrying out the same, Developer is entitled to the power, indemnities and protections set forth in the Declaration for the Association.

4.5 Property Rights in Common Areas. Every Member, and his guests or tenants, shall have a right and easement of enjoyment in the Common Areas, which rights and easements shall be appurtenant to and shall pass with the transfer of every Lot, subject to the following restrictions.

4.5.1 The right of the Association to adopt rules and regulations;

4.5.2 The right of the Association to exclusive use and management of said Common Areas for utilities such as pumps, pipes, wires, conduits and other utility equipment, supplies and materials;

4.5.3 The rights reserved to the Developer in the Declaration; and

4.5.4 The other restrictions, limitations and reservations contained or provided for in this Declaration, the Articles and Bylaws of the Association, and rules or regulations adopted by the Association.

4.5.5 The right of the Association to limit the number of guests of members using the Common Areas.

4.6 Maintenance.

4.6.1 The Association shall maintain the Common Areas and improvements located thereon in the same condition as a reasonable prudent Owner would maintain his own home so that RED HAWK CANYON will reflect a high pride of ownership.

4.6.2 Each Owner hereby covenants and agrees to maintain his respective property in the same condition as a reasonable prudent Owner would maintain his own home so that RED HAWK CANYON will reflect a high pride of Ownership. If any Owner shall fail to so maintain his property, the Association shall have the right to notify said Owner in writing of the maintenance required. If said maintenance shall not be performed within thirty (30) days from the date said notice is delivered to the non-performing Owner, the Association shall have all remedies as provided in this Declaration.

4.6.3 The Association shall maintain the irrigation system serving the development. The pump and pipeline delivering the irrigation water to the development shall

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be owned by the Association. The Association shall maintain the storm water retention pond and shall maintain the entryway sign and lighting.

4.7 Common Expense.

4.7.1 Certain expenses shall be paid by the Association for the benefit of all Owners and shall be referred to as common expenses. The common expenses shall be paid by the Association from funds collected monthly, quarterly, or semiannually and special assessments to be paid by Owners.

All expenses of maintaining and operating the Common Areas, and drainage and irrigation facilities owned by the Association within public right of way or easements on private property, whether held by the Developer or the Association, shall be common expenses. The common expenses shall include, but not be limited to, the following:

a. The expenses of maintaining the Common Areas and storm water retention pond, irrigation pump and irrigation system, and the entryway sign and lighting held by either the Association or the Developer;

b. The cost of maintaining insurance coverage on Common Areas and drainage and irrigation facilities held by the Association or the Developer; and

c. Costs of operating the Association; and

d. Any other expense which shall be designated as a common expense in the Declaration or, from time to time, by the Association; and

e. The Association shall provide insurance and repair for all signs relating to the subdivision; and

f. The Association shall provide repair and maintenance for any future common areas or common area improvements as determined by the Board.

4.7.2 An adequate reserve fund for the replacement of Common Area improvements shall be established and shall be funded by depositing into said fund a portion of the assessments collected from the Owners. That portion of the assessments deposited into said reserve fund shall be determined by the Developer until the Transition Date, and thereafter by the Association.

4.7.3 The Association shall collect from the adjoining property owners their pro rata share of the costs and expenses of maintaining the irrigation pump and system as more particularly provided for in the agreement between the Developer on behalf of the Association and the adjoining property owners.

4.8 Assessments.

4.8.1 From and after the date the first sale from the Developer to an Owner is executed and the transaction relating thereto is closed, each Lot shall be subject to monthly, quarterly, semi-annual or annual assessments or charges in an amount to be

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determined by the Developer until the Transition Date, and thereafter by the Association. The amount of assessments shall be that necessary to pay common expenses. The amount of the assessments may be increased or decreased periodically as may be necessary from time to time to properly provide for payment of said common expenses.

4.8.2 The amount of the assessments shall be equal for all Owners.

4.8.3 The Association shall, upon written demand, furnish a certificate in writing, setting forth whether the assessments on a specified Lot have been paid. A reasonable charge may be made for the issuance of these certificates.

4.8.4 In addition to the assessments authorized above, the Association, by and through its Board of Directors, may levy, in any year, a special assessment applicable to that year only, for the purpose of defraying, in whole or in part, the cost of any construction or reconstruction, unexpected repair or replacement of facilities in the Common Areas, and drainage and irrigation facilities owned by the Association located within easements on private property, including the necessary fixtures and personal property related thereto, or for any other purpose determined necessary by the Board of Directors of the Association. The special assessment to be charged shall be equal for all Lots. Special assessments may be payable in monthly installments, quarterly installments, or such other periodic installments as shall be determined by the Association.

4.9 Collection of Assessments, Enforcement of Declaration, Attorneys' Fees and Costs.

4.9.1 All assessments, together with interest, costs of collection and reasonable attorneys' fees, shall be a charge against and shall be a continuing lien upon said Lot against which each such assessment is made. Said lien shall have all the incidents of a mortgage on real property. Each such assessment, together with interest, costs and reasonable attorneys' fees, shall also be the personal obligation of the Owner at the time the assessment fell due.

4.9.2 If any assessment is not paid within thirty (30) days after its due date, the assessment shall bear interest from the due date at the higher of 12 percent or the maximum rate allowed by law. Each Owner hereby expressly vests in the Association or its agents the right and power to bring all actions against such nonpaying Owner personally for the collection of delinquent assessments as a debt and to enforce lien rights of the Association by all methods for the enforcement of such liens, including foreclosure by an action brought in the name of the Association in like manner as a Washington mortgage on real property, and each owner hereby expressly grants to the Association the power of sale in connection with such liens. The liens shall be in favor of the Association, shall be for the benefit of the Association, and the amount of said liens shall include interest, costs of collection and reasonable attorneys' fees. The Association shall have the power to bid in an interest foreclosed at foreclosure sale and to acquire and hold, lease, mortgage and convey the same. In the event the Association employs an attorney to enforce said liens, or the collection of any amounts due, or to enforce compliance with specific performance of this Declaration, Articles, Bylaws, rules and regulations of the Association or provisions of this Declaration, the Association shall be entitled to the award of reasonable attorneys' fees and costs incurred. In the event any Owner shall be in arrears in the payment of the assessments due or shall be in default of the performance of any of the terms of the Articles, Bylaws, or rules and regulations of the Association or this Declaration for a period of thirty (30)

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days, said Owner's right to vote shall be suspended and shall remain suspended until all payments are brought current and all defaults remedied. In addition, the Association shall have such other remedies against such delinquent Owners as may be provided in the Articles, Bylaws, rules and regulations of the Association.

4.10 Indemnification. To the fullest extent permitted by law, every director and officer of the Association and Developer (to the extent a claim may be brought against the Developer by reason of his appointment, removal or control over Members of the Board) shall be indemnified by the Association, and every other person serving as an employee or direct agent of the Association, against all expenses and liabilities, including without limitation, attorney's fees, reasonably incurred by or imposed upon him in connection with any proceeding to which he may be a party, or in which he may become involved, by reason of his being or having served in such capacity on behalf of the Association (or in the case of developer by reason of having appointed, removed, controlled or failed to contract Members of the Board), or any settlement thereof, whether or not he is a director or officer or serving in such other specified capacity at the time such expenses are incurred, provided that the Board shall determine, in good faith, that such officer, director, or other person, or developer, did not act, fail to act, or refuse to act with gross negligence or fraudulent or criminal intent in the performance of his duties. The foregoing rights of indemnification shall be in addition to and not exclusive of all other rights to which such persons may be entitled at law or otherwise.

4.11 Non-Liability of Officers. To the fullest extent permitted by law, neither Developer, the President, the Board, any committees of the Association, or any Member thereof, nor any directors or officers of the Association, shall be liable to any Member, Owner, occupant, the Association, or any other person for any damage, loss or prejudice suffered or claimed on account of any decision, approval or disapproval of drawings or specifications (whether or not defective) , course of action, act, inaction, omission, error, negligence or the like made in good faith in which Developer, the President, the Board, or such committee or person reasonably believed to be within the scope of their respective duties.

4.12 Common Area Ownership. Phillippi Developers, LLC holds fee title ownership of all of the Common Areas. Phillippi Developers, LLC shall transfer title to the Common Areas to the Association on or before the Transition Date by means of a quitclaim deed.

V. STRUCTURES

5.1 Residential Structures. Certain lots in the development shall be designated as single family dwelling lots and only single family dwellings shall be constructed on lots so designated. Future phases of the development may include condominiums, detached condominiums, townhomes, or similar residential structures.

5.2 Existing Structures. All dwellings shall be site-built. No structures shall be brought from another site.

5.3 Code. All building shall conform to the Uniform Building Code and be accompanied by a permit for construction by the City of Wenatchee.

5.4 Materials. The use of new materials on all exterior surfaces shall be required, except that used brick is permissible. Exteriors constructed from material indigenous to the Pacific Northwest are desired. No reflective finishes (other than glass and hardware) shall be

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used on exterior surfaces, including, but not limited to, the exterior surfaces of the following: all projections above roofs, fences, doors, trims, window frame, pipes, equipment and mailboxes. Metal roofs may be allowed subject to the approval of the Committee. Exterior paint and staining colors shall be selected in a manner that blends harmoniously with the surrounding architecture and landscape.

5.5 Driveways. All driveways must be surfaced by asphalt, pavement, concrete, or suitable paving stone. Dirt and/or gravel driveways shall not be allowed. Driveways in excess of twenty-two feet (22') wide at the property line must be approved by the aesthetics control committee.

5.6 Sidewalks. Each lot owner shall be responsible for installation of concrete sidewalks on their property as required by the City of Wenatchee.

5.7 Setbacks. Sideline setbacks shall be a minimum of five feet (5'). Setbacks from the front shall be twenty-five feet (25') with rear setbacks of twenty feet (20'). Lots 1, 2 & 3 of the Phillippi Short Plat that border 5th Street will have setbacks of thirty feet (30') from 5th Street so that a hammerhead style turn around for each residence may be constructed.

5.8 Height Limits. View corridors shall be preserved through the regulation of building height, placement and position at the discretion of the Committee.

5.9 Roofs. Roof slopes of all structures shall be no less than 5:12 or greater than 8:12. Straight gable and shed roofs will be discouraged, but are considered acceptable. No building or structure shall be permitted on any lot without a wood shake, wood shingle, composition, metal shake or concrete clay tile roof, unless prior written approval is given by the Committee.

5.10 Exterior Composition. Home exteriors shall consist of at least 10% rockery, in addition to a shingle and/or board and batten or other details to enhance architectural design.

5.11 Dwelling Size. No rambler-style dwelling shall be constructed having a full enclosed main floor living area of less than one thousand five hundred (1,500) square feet (this does not include garages, balconies, and the like), except on written waiver by the Committee. Two story, tri-level and split-level structures shall have a minimum living square footage of one thousand seven hundred (1,700) square feet.

5.12 Fences. All fences are intended to be harmonious with the surrounding properties. No fences or screen walls may be constructed without prior written approval by the Committee. Any fence must be constructed of wood, brick, stucco, vinyl, or iron, and maintained in a desirable manner so that the fence is not broken, leaning, in need of paint, or otherwise has a shabby appearance. Fences and screen walls shall be allowed only in backyard areas, shall have a finished appearance on both sides, and shall be limited to six feet in height, except on prior written approval by the Committee. Wood fences will be painted or stained a color pre-approved by the Committee and landscaping must be used to "soften" the appearance of the fence.

5.13 Time Of Completion. Any dwelling or structure erected shall be completed as to external appearance, including exterior painting, within (9) months from the date

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of the issuance of the building permit. Provided, however, that such period for completion shall be sufficiently extended to compensate for unavoidable delays.

5.14 Spark Arrester. Spark arresters of a type approved by the City of Wenatchee Fire Department shall be installed on all chimneys.

5.15 Maintenance And Repair Of Improvements. All buildings located on any lot shall be kept in good repair and in a generally attractive condition.

5.16 Irrigation. Irrigation systems will be connected to domestic and irrigation water supplies, and parking strip shall be served by its own zone. Irrigation system operational hours determined on annual basis.

VI. GENERAL COVENANTS

6.1 Subdivision. No lot may be subdivided.

6.2 Nuisances. No activity shall be carried on upon any Lot or permitted thereon which may be or becomes a nuisance to the neighborhood.

6.3 Animals. No animals shall be allowed except traditional household pets. All pets must be kept within the boundary of the Owner's Lot. Owners exercising their pets within the Property, within public right of way or on any commonly maintained property, will be responsible for keeping their pet on a leash and for cleaning up after their pets.

6.4 Refuse. No trash, garbage, rubbish, refuse or other solid waste of any kind, including particularly, inoperable automobiles, appliances and furniture, shall be thrown, dumped stored, disposed of, or otherwise placed on any part of the properties. Garbage and similar solid waste shall be kept in sanitary containers well suited for that purpose. Garbage cans and sanitary containers shall be screened, enclosed or otherwise out of view.

6.5 Landscaping. No trees, hedges or shrubs shall be grown or maintained in a fashion which unreasonably interferes with the other Lot Owners' use and enjoyment of their respective properties, this provision applies to but is not limited to: tree or plant heights, fullness and color. The Board shall determine whether any given trees, hedges or shrubs unreasonably interfere with those rights and such determinations shall be conclusive. All fruit trees shall be kept insect and disease free or the tree(s) shall be promptly removed at the owner's expense. Lawns shall be watered and cut and neatly trimmed during summer at least weekly. The Board shall determine if any interference to other Lot owners occurs, and such determination shall be conclusive. Trees existing at the time of recording of the Plat shall be exempt from the requirements of this section relating to height, fullness and color.

6.5.1 Each lot Owner is required to install perimeter fencing and landscaping and irrigation in the parking strip, per the requirements of the City-approved landscape plan.

6.6 Drainage. No Owner shall change or interfere with the drainage of any part of the developed area without the prior written approval of the Board and City of Wenatchee Department of Public Works.

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6.7 Signs. No billboard or advertising sign of any kind may be erected, placed or maintained on any Lot or Lots or on any building or structure thereon, except one "For Sale" sign used by a builder to advertise a Lot and except "For Rent", "For Sale", or "Future Sale" signs which shall be allowed. No sign may be more than six square feet, except with the prior written permission of the Board. This restriction does not apply to the developer with regard to the first sale of each lot. The Association may adopt reasonable rules and regulations allowing the temporary placement of political signs and yard sale or garage sale signs.

6.8 Businesses. No store, business or activity shall be conducted or permitted upon any Lot which constitutes a nuisance or involves on-premise sales or on-premise customer visits. All home occupation or home based businesses and activities must obtain the advance written approval of the governmental entity with jurisdiction over the Property and the Board.

6.9 Vehicle Repairs. No major or extended vehicle repairs shall be performed unless inside a closed garage.

6.10 Repair. All buildings located on any Lot shall be kept in good repair and in generally attractive condition.

6.11 Conveyances; Notice Required. The right of a Lot owner to sell, transfer or otherwise convey the Lot shall not be subject to any right of approval, disapproval, first refusal, or similar restriction by the Association or the Board, or anyone acting on their behalf. An Owner intending to sell a Lot shall deliver a written notice to the Board, at least two weeks before closing, specifying the lot being sold; the name and address of the purchaser, of the closing agent, and of the title insurance company insuring the purchaser's interest; and the estimated closing date. The Board shall have the right to notify the purchaser, the title insurance company, and the closing agent of the amount of unpaid assessments and charges outstanding against the Lot, whether or not such information is requested.

6.12 Maintenance of Buildings and Lots. Each Owner shall, at the Owner's sole expense, keep the interior and exterior of the building on the Owner's Lot in a clean and sanitary condition, free of rodents and pests, and in good order, condition and repair and shall do all redecorating and painting at any time necessary to maintain the appearance and condition of the building at a level substantially identical to the buildings on the other Lots. Structures existing at the time of recording of the Plat shall be exempt from this requirement only inasmuch as they shall be maintained in such a manner that their condition and appearance reflect pride of ownership of a structure of that age and type and material of construction. Each Owner shall also, at such Owner's sole expense, keep all portions of the Owner's Lot in a clean, neat and orderly condition, including without limitation all driveways and landscaping, so that all portions of the Owner's Lots are at all times maintained at a level substantially identical to the other lots. If the Board gives any Owner written notice directing the Owner to remedy a violation of this section and the Owner fails to do so within seven (7) days after receipt of such notice, the Board and/or its agents, contractors or employees shall thereafter be entitled; and is hereby declared to have an easement to go upon such Owner's lot and do any and all things reasonably necessary to remedy such violation. The Board shall be entitled to bill such Owner for all costs and expenses incurred in so doing and such bill shall constitute an assessment against the Owner's lot that may be enforced in accordance with the provisions of this document.

6.13 Manufactured or Mobile Homes. Manufactured or mobile homes,

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including modular homes, will not be permitted on any lot in the subdivision.

6.14 Electrical, Television and CATV Service. There shall be no overhead wires or services of any kind for distribution of electrical energy, telecommunications or CATV purposes, nor any pole, tower or other structure supporting outdoor overhead wires or antennae shall be erected, placed or maintained. Only underground services will be permitted. No satellite dishes of any kind or size will be allowed, except non-obtrusive devices not to exceed 24" in diameter for satellite TV use may be approved by the Board.

6.15 Maintenance of Vacant Lots. Vacant lots shall be maintained in a manner which enhances rather than detracts from the overall appearance of the Property. Lots should be mowed periodically during the summer to provide a routinely maintained appearance. Upon thirty (30) days notice to the Owner, the Association shall have the right at all times to enter upon any lot to remove debris or other waste material and to mow overgrown vegetation and to charge the expense thereof to the Owner as an assessment. The Association shall have all rights and remedies for the collection of said assessment as provided in Section 3.9.

6.16 Temporary Dwellings and Buildings. No mobile homes, trailers, basement, tents or other outbuilding shall be used on any Lot at any time, either temporarily or permanently, as a residence. During construction of a permanent residence, a temporary construction office may be permitted, but such use shall be limited to six (6) months. Such construction office must be located on-site or immediately adjacent to the Lot under construction. Under no circumstances may the construction office or other vehicle or boat be used as a living facility for Owner(s) or construction worker(s). No outhouse or lavatory for privy purposes shall be erected or maintained or placed on any Lot; such convenience must be incorporated within or be a part of the building to which they appertain. However, during the construction of a residence, Owners and their contractors shall provide workers with on-site bathroom facilities.

6.17 Easements. Easements for utilities and drainage are reserved as delineated on the plat. Within these easements no structure, planting or other material shall be placed or permitted to remain which may damage or interfere with the installation, operation and maintenance of utilities, or which may change the direction or flow of drainage channels in the easements, or which may obstruct or retard the flow of water through drainage channels in the easements. The easement area of each Lot and all improvements in it shall be maintained continuously by the Owner of the Lot, except for those improvements in it for which a public authority, utility company or the Association is responsible.

6.18 Excavations/Drilling. No excavation for minerals, stone, gravel or earth shall be made upon any Lot other than excavation for necessary construction purposes relating to main dwelling units, retaining and court walls, outbuildings and pools, and for the purpose of contouring, shaping, fencing and generally improving any Lot. No oil drilling, oil development operations, oil refining, quarrying or mining operations of any kind shall be permitted upon, under, or in any Lot, nor shall wells, tanks, tunnels, excavations or shafts be permitted upon or in any Lot that is related in any way to the extraction or exploration of oil, minerals, or other resources. No derrick or other structure designed for use in boring for oil or natural gas shall be erected, maintained or permitted upon any Lot.

6.19 Sightliness. All service areas, clotheslines, mechanical equipment, other equipment, motorcycles, snowmobiles, motor homes, boats, recreational vehicles, any vehicle too large for the garage, wood piles, storage piles, and garbage cans or receptacles will be screened

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from view and stationed behind the setback from the street. Additional outbuildings will be constructed similar to home.

6.20 Fire Safety. There shall be no exterior fires whatsoever, except for barbecues and any City-approved outdoor recreational fire apparatus.

6.21 Firearms. The use of firearms or explosives, including fireworks, except such fireworks as may be expressly approved by the Board, are prohibited, except the use of explosives as is required for construction work authorized in advance by the Board.

6.22 Construction Refuse. During construction, each lot must have a refuse container sufficient to prevent wind-dispersed debris.

6.23 Storage Tanks. No above or underground storage tanks for fuel or gas shall be permitted within the Property, except for above ground tanks for common residential uses (e.g. barbecue, fireplace, stove, etc.).

6.24 Letter and Delivery Boxes. The Developer shall determine the location, color, size, design, lettering and all particulars of all mail or delivery boxes in order to maintain a pleasing and uniform appearance.

6.25 Address Identification. Individual address identification devices for each residence shall be installed by the Lot Owner and must be complimentary to the exterior of the residence. No "unique" identification devices will be installed.

6.26 Exterior Lighting. Exterior lighting on individual lots must be approved by the Committee and will be approved only if it meets the guidelines and goals of the Dark Skies Initiative.

6.27 Disturbed Earth. Removal and disruption of vegetative cover shall be minimized to protect existing vegetation to the fullest extent possible. Disturbed areas shall be reseeded or landscaped.

6.28 Parking. At the time a structure is built on a lot, adequate off-street parking for at least two (2) automobiles shall be provided on the lot. Only temporary on-street parking will be permitted for residents' vehicles.

VII. LIMITATION ON DEVELOPER'S LIABILITY

Notwithstanding anything to the contrary herein, it is expressly agreed, and each Owner, by accepting title to a Lot and becoming an Owner, acknowledges and agrees that neither Developer (including without limitation any assignee of the interest of the Developer hereunder), nor any director, officer or shareholder of Developer (or any partner or shareholder in any such assignee) shall have any personal liability to the Association, or any Owner, Member or other person, arising under, in connection with, or resulting from (including without limitation resulting from action or failure to act with respect to) this Declaration or the Association accept, in the case of Developer (or its assignee), to the extent of its interest in the property; and, in the event of a judgment, no execution or other action shall be sought or brought thereon against any other assets, nor be a lien upon such other assets, of the judgment debtor.

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VIII. AMENDMENT

8.1 Amendment to Declaration. Amendments to this Declaration shall be made by an instrument in writing entitled "Amendment to Declaration" which sets forth the entire amendment. Except as otherwise specifically provided in this Declaration, any proposed amendment must be approved by a majority of the Board prior to its adoption by the Members. Amendments may be adopted at a duly-held meeting of the Members upon the approval thereof of a majority of Members, or without any meeting if all Members have been duly notified and if a majority of Members consent in writing to such amendment.

8.2 Effective Amendment. It is specifically covenanted and agreed that any properly adopted amendment to this Declaration will be completely effective to amend any and all of the covenants conditions, restrictions and easements contained herein which may be effected and any or all clauses of this Declaration or the plat, unless otherwise specifically provided in the section being amended or the amendment itself.

8.3 Amendment of Plat. Except as otherwise provided herein, the plat may be amended by revised versions or revised portions thereof referred to and described as to effect an amendment to this Declaration adopted as provided for herein. Such amendment to the plat shall be effective, once properly adopted, upon recordation in the appropriate governmental office in conjunction with the Declaration amendment.

8.4 Developer's Right to Amend. Notwithstanding any other provision of this Section 8, until October 1, 2040, Developer reserves the right to amend this Declaration or the plat without the approval of the Board or the Members; provided, however, that no such amendment shall have the effect of changing the boundaries of an Owner's lot without the consent of the Owner.

IX. TERM; TERMINATION

This Declaration shall be effective upon the date of recordation hereof and, as amended from time to time, shall continue in full force and effect for twenty (20) years from the date of its recordation, and thereafter shall continue for consecutive periods of ten (10) years each, unless there is an affirmative vote, not more than three hundred sixty (360) days prior to the date otherwise scheduled for commencement of the next extension of the term of this Declaration, to terminate this Declaration by a vote of the majority of Members at a duly-held meeting of the Members, or without any meeting if all Members have been duly notified and if a majority of Members' consent in writing to such termination within said three hundred sixty (360) day period. If the necessary votes and consents are obtained, the Board shall cause to be recorded with the County Auditor of Chelan County, Washington, a certificate of termination, duly signed by the president or a vice president of the Association and attested by the secretary or assistant secretary of the Association, with their signatures acknowledged. Thereupon, this Declaration, as of the date the next extension of the term of this Declaration would otherwise have commenced, shall have no further force and effect, and the Association shall be dissolved.

X. MISCELLANEOUS

10.1 Severability. The provisions hereof shall be deemed independent in severable, and the invalidity or partial invalidity or unenforceability of any provision shall not effect any other provision hereof.

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10.2 Enforcement. Enforcement shall be by proceedings at law or in equity against any person or persons violating or attempting to violate any covenant either to restrain violation or to recover damages. The prevailing in any dispute of the enforcement of these covenants shall be entitled to recover reasonable attorneys fees.

"DEVELOPER"

PHILLIPPI DEVELOPERS, LLC

By _____
GREG PHILLIPPI, Manager

STATE OF WASHINGTON)
) ss.
COUNTY OF Chelan)

I CERTIFY that I know or have satisfactory evidence that GREG PHILLIPPI is the person who appeared before me, and said person acknowledged that he signed this instrument, on oath stated that he was authorized to execute the instrument and acknowledged it as the Manager of PHILLIPPI DEVELOPERS, LLC, to be the free and voluntary act of such parties for the uses and purposes mentioned in the instrument.

DATED this 11th day of May, 2009.

_____
Typed/Printed Name Meagan P. Davenport
NOTARY PUBLIC, State of Washington
My Commission Expires 3-17-13

MEAGAN P DAVENPORT NOTARY PUBLIC STATE OF WASHINGTON Commission Expires 03-17-2013

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EXHIBIT "A"

Lot 9, Red Hawk Canyon, Short Plat 2007-027-WE recorded under Auditor's File Number 2261631, in Book 21 at pages 50-52, records of Chelan County, Washington.

TOGETHER WITH a portion of the Northwest quarter of the Southeast quarter of Section 5, Township 22 North, Range 20 East of the Willamette Meridian more particularly described as follows: Beginning at the East quarter corner of said Section 5 located on the centerline of 5th Street; thence along the center of section line, South 87°57'25" West for a distance of 1920.54 feet; thence South 02°02'35" East for a distance of 30.00 feet to the Northwest corner of Parcel A, Boundary Line Adjustment, 2007-005 WE, recorded under Auditor's File Number 2263691 records of Chelan County. Washington located on the Southerly right of way of said 5th Street, point being the True Point of Beginning. thence continuing South 01°52'23" East for a distance of 100.00 feet to the Northeast corner of Lot 9, Red Hawk Canyon Short Plat #2007-027 WE, recorded under Auditor's File Number 2261631, in Book 21 at pages 50-52, records of Chelan County, Washington; thence along the Easterly boundary of said Lot 9, South 01°52'23" East for a distance of 516.28 feet; thence North 88°59'30" East for a distance of 65.01 feet; thence North 01°52'23" West for a distance of 517.46 feet; thence North 87°57'24" East for a distance of 84.50 feet; thence North 01°52'23" West for a distance of 100.00 feet to the Southerly right of way of 5th Street; thence along said right of way, South 87°57'25" West for a distance of 149.50 feet to the True Point of Beginning.

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EXHIBIT "B"

The East 424 feet of the West half of the Southwest quarter of the Southeast quarter of Section 5, Township 22 North, Range 20, E.W.M., Chelan County, Washington,
EXCEPT the North 278.9 feet thereof.

TOGETHER WITH that portion of the East half of the Southwest quarter of the Southeast quarter of said Section 5, described as follows: Beginning at the Southeast corner of said East half of the Southwest quarter of the Southeast quarter; thence North 02°00'18" West along the east line thereof, a distance of 445.96 feet; thence South 87°59'42" West, 156.23 feet; thence North 42°53'33" West, 386.83 feet; thence North 64°52'22" West, 267 feet, more or less, to the West line thereof; thence southerly along the West line thereof to the Southwest corner thereof; thence easterly along the southerly boundary thereof to the point of beginning.

The Southeast and the Northeast quarter of the Northwest quarter of the Southeast quarter of Section 5, Township 23 North, Range 30, E.W.M., Chelan County, Washington,
EXCEPT a parcel of land located in said Northeast quarter of the Northwest quarter of the Southeast quarter of Section 5, more particularly described as follows: Beginning at the Northeast corner of the Southeast quarter of said Section 5; thence South 87°57'25" West along the East-West center of section line, for a distance of 1280.51 feet; thence South 02°02°35" East for a distance of 30.00 feet, to a point on the southerly right of way of 5th Street; thence continuing along said right of way, South 87°57'25" West, for a distance of 236.45 feet, to the True Point of Beginning of this description; thence South 00°00'00" West, for a distance of 119.14 feet; thence South 87°57'25" West for a distance of 108.07 feet; thence North 00°00'00" West for a distance of 119.14 feet to the southerly right of way of 5th Street; thence North 87°57'25" East along said right of way, for a distance of 108.07 feet to the True Point of Beginning of this exception.

ALSO EXCEPT the East 200 feet of the North 200 feet thereof,
AND EXCEPT right of way of 5th Street along the North line thereof.

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The East half of the Southwest quarter of the Southeast quarter of Section 5, Township 22 North, Range 20, E.W.M. Chelan County, Washington.

EXCEPT that portion of the East half of the Southwest quarter of the Southeast quarter of said Section 5, described as follows: Beginning at the Southeast corner of said East half of the Southwest quarter of the Southeast quarter; thence North 02°00'18" West, along the East line thereof, a distance of 445.96 feet; thence South 87°59'42" West, 156.23 feet; thence North 42°53'33" West, 386.83 feet; thence North 64°52'22" West, 267 feet, more or less, to the West line thereof; thence southerly, along the West line thereof to the Southwest corner thereof; thence easterly along the southerly boundary thereof to the point of beginning.

The East 200 feet of the North 200 feet of the Northeast quarter of the Northwest quarter of the Southeast quarter of Section 5, Township 22 North, Range 20 , E.W.M.

EXCEPT Chelan County right-of-way commonly known as 5th Street.

TOGETHER WITH all appurtenances situated thereon and improvements thereto.

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BYLAWS

OF

RED HAWK CANYON OWNERS ASSOCIATION

BYLAWS

OF

RED HAWK CANYON OWNERS ASSOCIATION

ARTICLE I
OFFICES

SECTION 1.1 Principal Office. The principal office of the Corporation shall be established and maintained at 1921 – 5th Street, Wenatchee, Washington 98801.

SECTION 1.2 Other Offices. The Corporation may have other offices, either within or without the state of Washington, at such place or places as the Board of Directors may determine from time to time or the business of the Corporation may require.

ARTICLE II
PURPOSE

The purpose of these Bylaws is to facilitate the administration of RED HAWK CANYON OWNERS ASSOCIATION which is governed by the Declaration Establishing Covenants, Conditions, Restrictions, and Reservations for RED HAWK CANYON, as recorded _____, 2009, under Chelan County Auditor's No. _____ (the "Declaration"). In the case of any conflict between the Declaration and these Bylaws, the Declaration shall control.

ARTICLE III
DEFINITIONS

These Bylaws are subject to the definitions contained in Section 1 of the Declaration.

ARTICLE IV
MEMBERSHIP

Terms and governing membership, voting of members, meetings of members, and rights and duties of members are contained in Sections 3.2 and 3.3 of the Declaration.

ARTICLE V
BOARD OF DIRECTORS

Section 5.1 Powers. The business of the Association shall manage and its corporate powers shall be exercised by its Board of Directors, except as otherwise provided by statute or by the Articles of Incorporation.

Section 5.2 Number. Until the number is changed by resolution of the Association at any time, and from time to time, the Board shall consist of one (1) director.

Section 5.3 Election and Term of Office. Directors shall be elected at the annual meeting of the Members, except as provided in Sections 5.4 and 5.5 of this Article. At each meeting of Members for the election of directors at which a quorum is present, the persons receiving the greatest number of votes, up to the number of directors to be elected, shall be the directors. Each director shall hold office until the next succeeding annual meeting, or until his successor is elected and qualified, or until his earlier resignation by written notice to the Secretary of the Corporation, or until his removal from office.

Section 5.4 Vacancies. Any vacancy occurring in the Board of Directors, including any vacancy created by reason of an increase in the number of directors, may be filled by the affirmative vote of a majority of the directors then in office, though less than a quorum of the Board of Directors. A director elected to fill a vacancy shall be elected until the next annual meeting of the Members. If there are no directors in office, then any officer or any Member or an executor, administrator, trustee or guardian of a Member or other fiduciary entrusted with like responsibility for the person or estate of a Member, may call a special meeting of Members for the purpose of electing a new Board of Directors.

Section 5.5 Removal. At a special meeting of the Members, duly called expressly for that purpose as provided in these Bylaws, any director or directors, by the affirmative vote of the holders of a majority of all the shares of stock outstanding and entitled to vote for the election of directors, may be removed from office, either with or without cause, and the remaining directors, in the manner provided in these Bylaws, shall fill any vacancy or vacancies created by such a removal.

Section 5.6 Place of Meetings. Meetings of the Board of Directors of the Corporation, regular or special, may be held either within or without the State of Washington.

Section 5.7 Regular Meetings. The Board of Directors shall hold a regular meeting each year immediately after the annual meeting of the Members at the place where such meeting of the Members was held for the purpose of election of officers and for the consideration of any other business that may be properly brought before the meeting. No notice of any kind to either old or new members of the Board of Directors for such regular meeting shall be necessary.

Section 5.8 Special Meetings. Special meetings of the Board of Directors may be called by any two directors, the Chairman of the Board or the President or Secretary on two (2) days' written notice to each director, either personally or by mail or by telegram. Notice of any special meeting of the Board of Directors need not be given to any director who signs a waiver of notice either before or after the meeting. Attendance by a director at a special meeting shall constitute a waiver of notice of such special meeting, except where a director attends a meeting for the express purpose of objecting to the transaction of any business because such special meeting is not lawfully convened.

Section 5.9 Quorum. A majority of all the directors shall constitute a quorum for the transaction of business. The affirmative vote of the majority of directors present at a meeting where a quorum is present shall be the act of the Board of Directors. If a quorum shall not be present at any meeting of the Board of Directors, a majority of the directors present thereat may adjourn the meeting from time to time, without notice other than announcement at the meeting, until a quorum shall be present.

Section 5.10 Written Consent. Any action of the Board of Directors or of any committee thereof, which is required or permitted to be taken at a regular or special meeting, may be taken without a meeting if consent in writing, setting forth the action so to be taken, signed by all of the members of the Board of Directors or of the committee, as the case may be, is filed in the minutes of the proceedings of the Board of Directors or committee.

ARTICLE VI
OFFICERS AND THEIR DUTIES

Section 6.1 Enumeration of Officers. The officers of this corporation shall be a president, who shall at all times be a member of the Board of Directors, a secretary and a treasurer and such other officers as the Board may from time to time by resolution create.

Section 6.2 Election of Officers. The election of officers shall take place at the first meeting of the Board of Directors following each annual meeting of the members.

Section 6.3 Term. The officers of this corporation shall be elected annually by the Board and each shall hold office for one (1) year unless he shall sooner resign, be removed, or otherwise become disqualified to serve.

Section 6.4 Special Appointments. The Board may elect such other officers as the affairs of the corporation may require, each of whom shall hold office for such period, have such authority and perform such duties as the Board may, from time to time, determine.

Section 6.5 Resignation and Removal. Any officer may be removed from office with or without cause by the Board. Any officer may resign at any time giving written notice to the Board, the president or the secretary. Such resignation shall take effect on the date of receipt and such notice or at any later time specified therein, and unless otherwise

specified therein, the acceptance of such resignation shall not be necessary to make it effective.

Section 6.6 Vacancies. A vacancy in any office may be filled by appointment by the Board. The officer appointed to such vacancy shall serve for the remainder of the term of the officer he replaces.

Section 6.7 Multiple Offices. The offices of secretary and treasurer may be held by the same person. No person shall simultaneously hold more than one of any of the other offices except in the case of special offices created pursuant to Section 6.4.

Section 6.8 Duties. The duties of the officers are as follows:

(a) President. The president shall preside at all meetings of the Board of Directors; shall see that orders and resolutions of the Board are carried out; shall sign all contracts and other written instruments and shall co-sign all checks and promissory notes.

(b) Vice-President. The vice president, if any, shall act in the place of the president in the event of the president's absence, inability or refusal to act, and shall exercise and discharge such other duties as may be required of him by the Board.

(c) Secretary. The secretary shall record the votes and keep the minutes of all meetings and proceedings of the Board and of the members; serve notice of meetings of the Board and of the members; keep appropriate current records showing the members of the corporation together with their addresses, and perform such other duties as required by the Board.

(d) Treasurer. The treasurer shall receive and deposit in appropriate bank accounts all monies of the corporation and shall disburse such funds as directed by resolution of the Board of Directors; shall sign all checks and promissory notes of the corporation; keep proper books of account; and shall prepare an annual budget and a statement of income and expenditures to be presented to the membership at its regular annual meeting, and deliver a copy of each to the members.

ARTICLE VII
COMMITTEES

The Board of Directors shall appoint committees as deemed appropriate in carrying out its purpose.

ARTICLE VIII
BOOKS AND RECORDS

The books, records and papers of the corporation shall at all times, during reasonable business hours, be subject to inspection by any member. The Declaration and the Bylaws of the Corporation shall be available for inspection by any member at the principal office of the Corporation where copies may be purchased at reasonable costs.

ARTICLE IX
AMENDMENTS

These Bylaws may be altered, amended, repealed or added to by the vote of two-thirds (2/3) of the members present at any regular meeting of the members, or at a special meeting of the members called for that purpose, provided a quorum is present at such meeting.

ARTICLE X
INDEMNIFICATION

Section 10.1 General. Each person who was or is made a party or is threatened to be made a party to or is involved (including, without limitation, as a witness) in any actual or threatened action, suit or proceeding, whether civil, criminal, administrative or investigative, by reason of that fact that he or she is or was a director or officer of the corporation or, being or having been such a director or officer, he or she is or was serving at the request of the corporation as a director, officer, employee or agent of another corporation or of a partnership, joint venture, trust or other enterprise, including service with respect to employee benefit plans, whether the basis of such proceeding is alleged action in an official capacity as a director, office, employee or agent or in any other capacity while serving as a director, officer, employee or agent or in any other capacity, shall be indemnified and held harmless by the corporation to the full extent permitted by applicable law as then in effect, against all expense, liability and loss (including, without limitation, attorneys' fees, judgments, fines, and all amounts to be paid in settlement) actually or reasonably incurred or suffered by such person in connection therewith. Such indemnification shall continue as to a person who has ceased to be a director, officer, employee or agent and shall inure to the benefit of his or her heirs, executors and administrators. No indemnification shall be provided under this Article to any such person if the corporation is prohibited by the non-exclusive provisions of the Washington Non-Profit Corporation Act or any other applicable law as then in effect from paying such indemnification. The right to indemnification conferred in this Section shall be a contract right and shall include the right to be paid by the corporation the expenses incurred in defending any such proceeding in advance of its final disposition; provided, however, that the payment of such expenses in advance of the final disposition of a proceeding shall be made to or on behalf of a director or officer only upon delivery to the corporation of an undertaking, by or on behalf of such director or officer, to repay all amounts so advanced if it shall ultimately be determined that such director or officer is not entitled to be indemnified under

this Article or otherwise, which undertaking may be unsecured and may be accepted without reference to financial ability to make repayment.

Section 6.2 Non-exclusive. The right to indemnification and the payment of expenses incurred in defending a proceeding in advance of its final disposition conferred in this Article shall not be exclusive of any other right which any person may have or hereafter acquire under any statute, provision of the Articles of Incorporation, Declaration, Bylaws, agreement, vote or disinterested directors or otherwise.

Section 6.3 Insurance. The corporation may maintain insurance, at its expense, to protect itself and any director, officer, employee or agent of the corporation or another corporation, partnership, joint venture, trust or other enterprise against any expense, liability or loss, whether or not the corporation would have the power to indemnify such person against such expense, liability or loss under the Washington Non-Profit Corporation Act. The corporation may enter into contracts with any director or officer of the corporation in furtherance of the provisions of this Article and may create a trust fund, grant a security interest or use other means (including, without limitation, a letter of credit) to ensure the payment of such amounts as may be necessary to effect indemnification as provided in this Article.

Section 6.4 Interim Payments. The corporation may, by action of its Board of Directors from time to time, provide indemnification and pay expenses in advance of the final disposition of a proceeding to employees and agents of the corporation with the same scope and effect as the provisions of this Article with respect to the indemnification and advancement of expenses of directors and officers of the corporation or pursuant to rights granted pursuant to, or provided by, the Washington Non-Profit Corporation Act or otherwise.

These Bylaws are effective this 25th day of March, 2009, by the Declarant pursuant to the Declaration.

RED HAWK CANYON
OWNERS ASSOCIATION

By _____
GREG PHILLIPPI, Declarant

ARTICLES OF INCORPORATION

OF

RED HAWK CANYON OWNERS ASSOCIATION

The undersigned incorporator hereby files these Articles of Incorporation for the purpose of forming a corporation under the laws of the state of Washington.

ARTICLE I

NAME

The name of this Corporation is RED HAWK CANYON OWNERS ASSOCIATION.

ARTICLE II

PURPOSES; POWERS

The general purpose for which this Corporation is organized is to ensure the continued maintenance and care of the common areas of RED HAWK CANYON and to enforce the protective covenants for the benefit of the corporation and its members, to maintain certain utilities and amenities, to transact any and all other lawful business necessary or appropriate in connection with such purposes and to engage in all other activities allowed under RCW 24.03.015.

ARTICLE III

TERM OF EXISTENCE

The Corporation shall exist perpetually unless dissolved according to law.

ARTICLE IV

INITIAL REGISTERED OFFICE AND AGENT

The initial registered agent and street address of the initial registered office of this Corporation in the State of Washington shall be as follows:

REGISTERED AGENT	REGISTERED OFFICE
Greg Phillippi	1921 – 5th Street Wenatchee, WA 98801

ARTICLE V

BOARD OF DIRECTORS

The management of this Corporation shall be vested in a Board of Directors. The number of Directors, and the method of selecting Directors, shall be fixed by the Bylaws of this Corporation; provided, that the initial Director shall be:

Name	Street Address
Greg Phillippi	1921 – 5th Street Wenatchee, WA 98801

The number of Directors may be increased or decreased from time to time as provided in the Corporations Bylaws or Declaration.

ARTICLE VI

INCORPORATOR

The name and street address of the incorporator signing these Articles of Incorporation are as follows:

Name	Street Address
Greg Phillippi	1921 – 5th Street Wenatchee, WA 98801

ARTICLE VII

DISPOSITION OF ASSETS UPON DISSOLUTION

Upon the dissolution of the Corporation, the Board of Directors shall, after paying or making provisions for the payment of all liabilities of the Corporation, distribute the remaining assets of the Corporation to the Corporation's members, pro rata according to their voting interest, as tenants in common.

ARTICLE VIII

BYLAWS

The Board of Directors is authorized to make, alter, amend, or repeal the Bylaws of this corporation and members shall have the power to alter, amend, or repeal such Bylaws only as provided therein.

ARTICLE IX

MEMBERS VOTING RIGHTS;

CUMULATIVE VOTING NOT ALLOWED

The owners of all or any part of the real property described in the Declaration shall be members of the Corporation. Natural persons, partnerships, corporations, trusts, or other lawful business entities may own or have ownership interest in such property.

The voting rights of members shall be in accordance with section 3 of the Declaration. Each member entitled to vote at any election for directors shall have the right to vote his or her interest, in person or by proxy, for as many personas as there are directors to be elected, but no shareholder shall be entitled to cumulate their votes.

Except as otherwise provided in these Articles, the conditions and

regulations of membership and the rights and other privileges of membership shall be determined and fixed by the Corporation's Bylaws and the Declaration.

ARTICLE X

COMPENSATION

The Board of Directors, by the affirmative vote of a majority of the directors then in office, and irrespective of any personal interest of any of its members, shall have authority to establish reasonable compensation of all directors for services to the Corporation as directors, officers or otherwise.

ARTICLE XI

DIRECTOR LIABILITY

A director of the Corporation shall not be personally liable to the Corporation or its shareholders for monetary damages for conduct as a director, except for liability of the director (i) for acts or omissions which involve intentional misconduct by the director or a knowing violation of law by the director, (ii) for conduct violating Section 23B.08.310 of the Washington Business Corporation Act, or (iii) for any transaction from which the director will personally receive a benefit in money, property or services to which the director is not legally entitled. If the Washington Business Corporation Act is amended to authorize corporate action further eliminating or limiting the personal liability of directors, then the liability of a director of the Corporation shall be eliminated or limited to the fullest extent permitted by the Washington Business Corporation Act, as so amended. Any repeal or modification of the foregoing paragraph by the stockholders of the Corporation shall not adversely affect any right or protection of a director of the corporation existing at the time of such repeal or modification.

ARTICLE XII

INDEMNIFICATION

The Corporation has the power to indemnify, and to purchase and maintain insurance for, its directors, officers, trustees, employees, and other persons and agents, and (without limiting the generality of the foregoing) shall indemnify its directors, against all liability, damage, and expenses arising from or in connection with service for, employment by, or other affiliation with this Corporation or other firms or entities to the maximum extent and under all circumstances permitted by law.

IN WITNESS WHEREOF, the undersigned incorporator has made and subscribed these Articles of Incorporation at Wenatchee, Washington, for the uses and purposes aforesaid, on the 25 day of March, 2009.

GREG PHILLIPPI, Incorporator

CONSENT TO APPOINTMENT
OF
REGISTERED AGENT
FOR
RED HAWK CANYON OWNERS ASSOCIATION

The undersigned hereby consents to serve as registered agent in the State of Washington for RED HAWK CANYON OWNERS ASSOCIATION. As agent for the Corporation, it shall be the responsibility of the undersigned to accept service of process in the name of the Corporation; to forward corporate license renewal mailings to the Corporation; and to immediately notify the Office of the Secretary of State of the undersigned's resignation or of any change in the address of the registered office of the Corporation.

DATED the 25 day of March, 2009.

GREG PHILLIPPI
1921 – 5th Street
Wenatchee, WA 98801